

billion for every \$1 billion we manage because people don't use their entire risk allocation all the time. I assume, on average, they will use about two thirds. The deal is that if a trader loses 3 percent, he has to give me back half of his trading line. If he loses another 3 percent of the remaining half, that's it. His book is auctioned. All the traders are shown his book and take what they want into their own books, and anything that is left is liquidated.

What happens to the trader at that point? Is he out on the street?

It depends on how he reached his limit. I'm not a hard-nosed person. I don't say, you lost money, get out. It's possible someone gets caught in a storm. A trader might have some very reasonable Japanese positions on, and then there is a nuclear accident, and he loses a lot of money. We might recapitalize him, but it depends. It is also a matter of gut feel. How do I feel about the guy?

Is the 3 percent loss measured from the allocation starting level?

Yes, it is definitely not a trailing stop. We want people to scale down if they are getting it wrong and scale up if they are getting it right. If a guy has a \$100 million allocation and makes \$20 million, he then has \$23 million to his stop point.

Do you move that stop up at any point?

No, it rebases annually.

So every January 1, traders start off with the same 3 percent stop point?

Yes, unless they carry over some of their P&L. One year, one of my guys made about \$500 million of profits. He was going to get a huge incentive check. I said to him, "Do you really want to be paid out on the entire \$500 million? How about I pay you on \$400 million, and you carry over \$100 million, so you still have a big line." He said, "Yeah, that's cool. I'll do that." So he would have to lose that \$100 million plus 3 percent of the new allocation before the first stop would kick in.

Your structure of cutting a trader's book on successive 3 percent losses builds asymmetry into the performance. The downside is